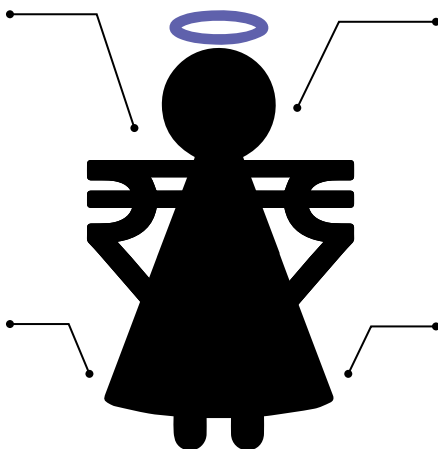


BACKING START-UPS

Since its founding in 2006, IAN has invested more than ₹1,000 crore in over 225 Indian start-ups, creating about 125,000 jobs

The network launched the IAN Fund I in 2019 worth ₹375 crore and the IAN Alpha Fund in 2022 worth ₹1,000 crore



Its investments are concentrated in cities like Bengaluru, Mumbai, and Delhi-NCR, indicating a preference for start-ups in urban centres

One of the big areas of focus is start-ups that are women-led. These form 23% of IAN's portfolio

98 |

WHEN IT LAUNCHED in 2017, Zypp Electric wanted to be an app-based e-bike rental service. But when the world got locked down in 2020 during the Covid-19 pandemic, Zypp changed tack and became an EV-as-a-service for last-mile delivery. Anyone in the last-mile delivery business, from Zomato to Uber and Swiggy, can get a Zypp e-scooter service along with Zypp's trained drivers.

Indian Angel Network, which had funded Zypp as it does scores of such start-ups, watched on without interfering when Zypp changed tack. That's one of the things IAN does well: allowing its start-ups leeway.

Now, buoyed by its successes, IAN has set a goal of investing ₹5,000 crore in 500-odd start-ups within the next six years. That's a tall target for IAN, which has deployed ₹1,000 crore since it was founded in 2006 by Padmaja Ruparel, Saurabh Srivastava, and Raman Roy. But if it succeeds, IAN will have created half a million jobs by 2030 by investing in early-stage start-ups.

"Angel investment in India is as old as us," says Ru-

parel, who became an "angel" after dabbling in varied professions and quitting her family's real estate business.

Ruparel's optimism has not left her even though the industry was becalmed in 2020 by lockdowns. But after hitting an all-time low, funding peaked in 2021. Then came a funding winter in the second half of 2022, as investors took their time (sometimes five or six months against a couple earlier) to seal a deal. Many had backed start-ups without a thought in 2021, but when the ventures failed to fight the lockdowns, the investors stepped back.

Ruparel says the funding 'winter' happened because some firms burnt through their cash too soon and failed to stabilise. "We didn't see a situation where it was complete winter and nothing moved. Investments did happen, but some companies slipped, and thus, there was a drop in fundraising," says Ruparel. "This reduced the investors' appetite because they feared possibilities of loss."

Serial investor Sanjeev Bikhchandani, founder of Info Edge and the man behind brands such as Naukri.com, jeevansathi.com and 99acres, concurs with Ruparel. "Investors, today, have become a little extra cautious. But the start-ups which have potential and have performed well are not facing this funding crunch," he says.

T.V. Mohandas Pai, Chairman of Aarin Capital Partners and veteran investor who was CFO of Infosys, says